


# Ania's Coffee Cart

One small business. One month. 13 everyday transactions, and where each one lands on the balance sheet, income statement and cash flow statement.

**Assets = Liabilities + Equity**

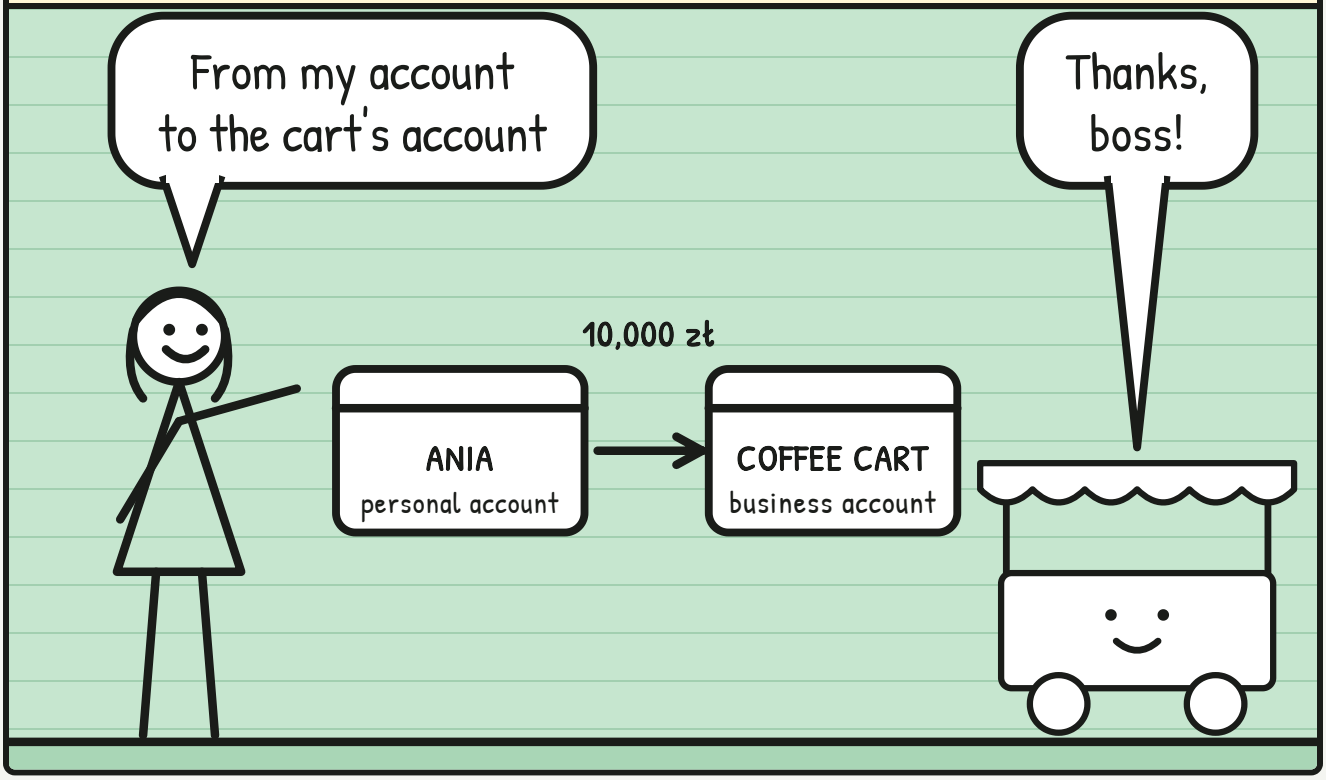
# 12 accounting conventions in one line each

| | |
|---|---|
| Business entity convention | The business and the owner are separate. Keep their money apart. |
| Money measurement | Only things you can measure in money go in the books. |
| Reporting period | Chop the life of a business into months or years so you can report on each one. |
| Going concern convention | Assume the business will keep running and has no plan to sell off its assets. |
| Historic cost convention | Record things at what you actually paid. |
| Dual aspect convention | Every transaction has two sides, so A = L + E always balances. |
| Accruals convention | Profit is revenue earned minus expenses used up, not cash in minus cash out. |
| Revenue recognition | Count revenue when you have earned it by delivering the goods or service. |
| Matching convention | Put expenses in the same period as the revenue they helped earn. |
| Prudence convention | When unsure, don't overstate what you have or what you earned. Record losses early, gains only when sure. |
| Materiality convention | Small amounts that would not change anyone's decision can be handled the simple way. |
| Consistency convention | Once you pick a method, keep using it, so periods can be compared. |

# Opening the business account

**PRINCIPLE: BUSINESS ENTITY CONVENTION**

Day 1. Ania moves 10,000 zł of her own savings into a new bank account opened just for the cart.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Cash | 10,000 |
| Cr | Owner's capital | 10,000 |

**WATCH OUT**

Ania's groceries are not cart expenses. Mixing personal and business money breaks this rule.

**WHERE IT LANDS**

**BALANCE SHEET**

Cash +10,000 · Owner's capital +10,000

**INCOME STATEMENT**

no change

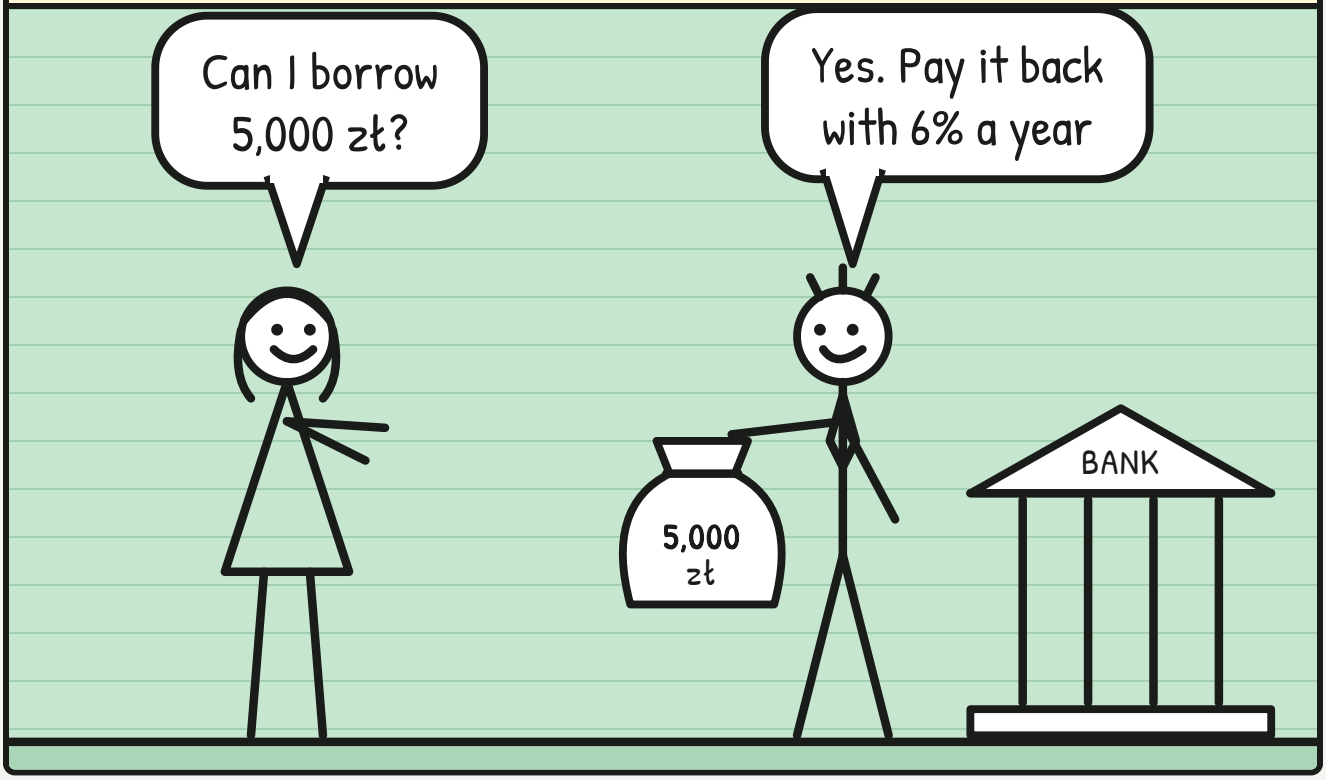
**CASH FLOW**

Financing +10,000

# Borrowing from the bank

**PRINCIPLE: DUAL ASPECT CONVENTION**

Day 2. Savings won't be enough, so Ania borrows 5,000 zł from the bank at 6% interest a year.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Cash | 5,000 |
| Cr | Bank loan | 5,000 |

**WATCH OUT**

A loan is not income. Borrowed money must be paid back, so it is a liability, never revenue.

**WHERE IT LANDS**

**BALANCE SHEET**

Cash +5,000 · Bank loan +5,000

**INCOME STATEMENT**

no change

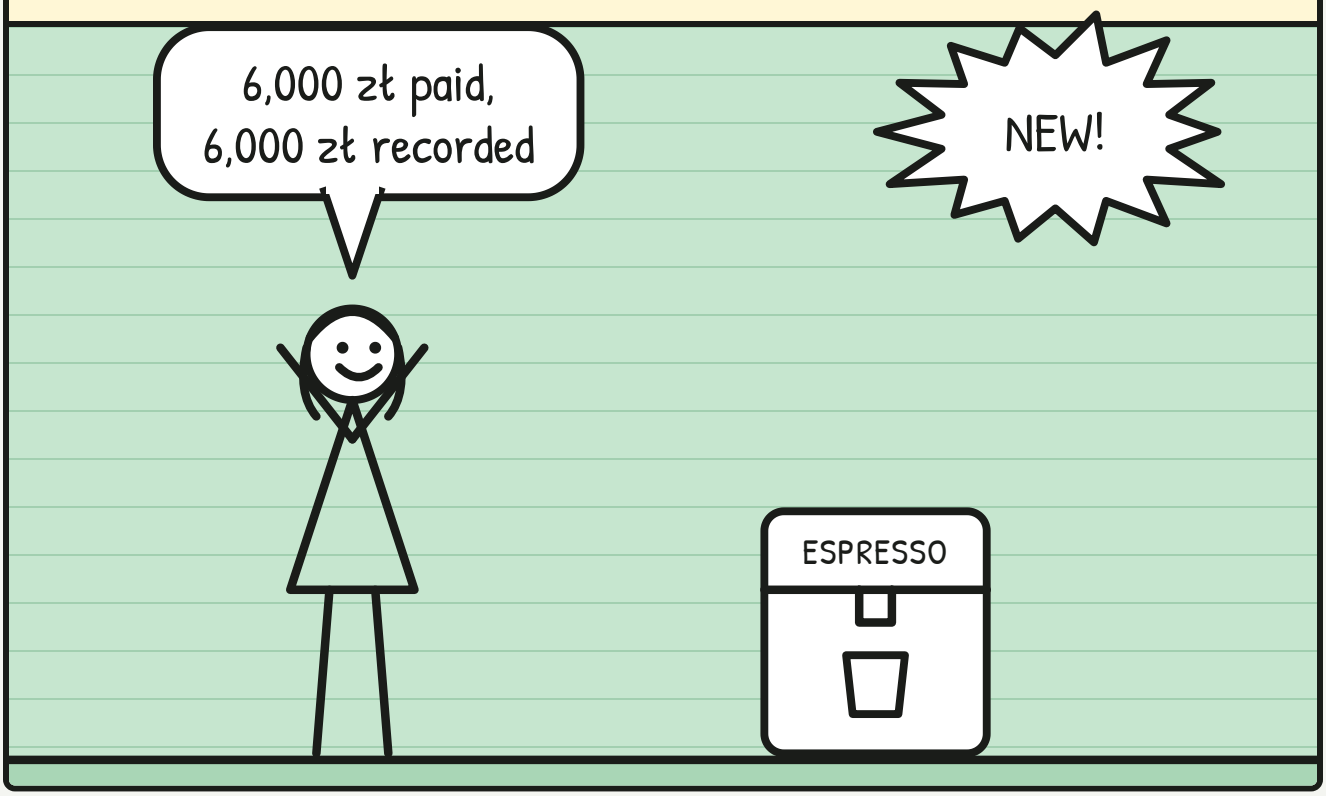
**CASH FLOW**

Financing +5,000

# Buying the espresso machine

**PRINCIPLE: HISTORIC COST CONVENTION**

Day 3. Ania finds a good second-hand espresso machine and pays 6,000 zł from the cart's account.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Equipment | 6,000 |
| Cr | Cash | 6,000 |

**WATCH OUT**

Don't record it at what you think it's worth ("it's a bargain, really 8,000"). Record what you paid.

**WHERE IT LANDS**

**BALANCE SHEET**

Cash −6,000 · Equipment (PPE) +6,000

**INCOME STATEMENT**

no change

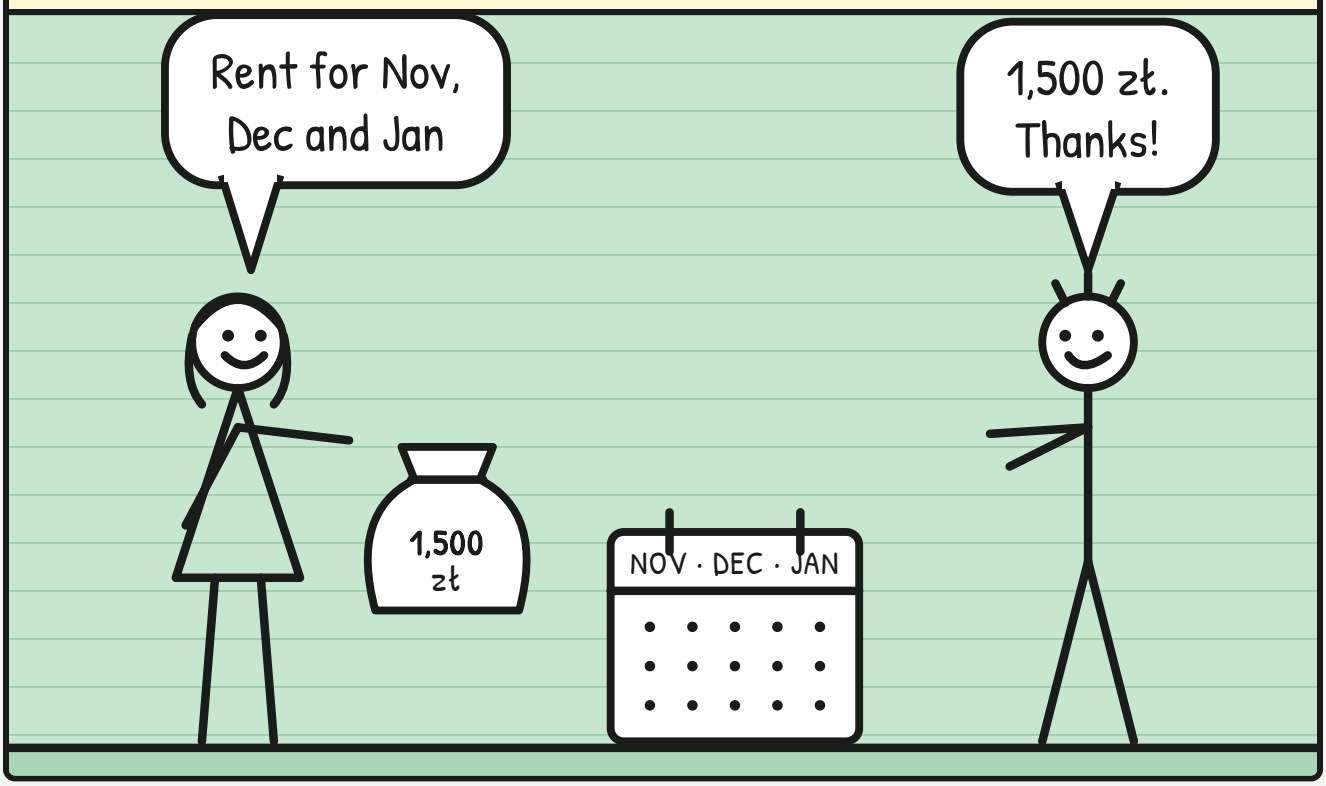
**CASH FLOW**

Investing −6,000

# Paying rent three months ahead

**PRINCIPLE: ACCRUALS CONVENTION**

Day 4. The landlord wants rent for November, December and January up front: 1,500 zł in total.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Prepaid rent | 1,500 |
| Cr | Cash | 1,500 |

**WATCH OUT**

Booking all 1,500 zł as November rent would make November look worse and January look better than they really are.

**WHERE IT LANDS**

**BALANCE SHEET**

Cash −1,500 · Prepaid rent +1,500

**INCOME STATEMENT**

no change

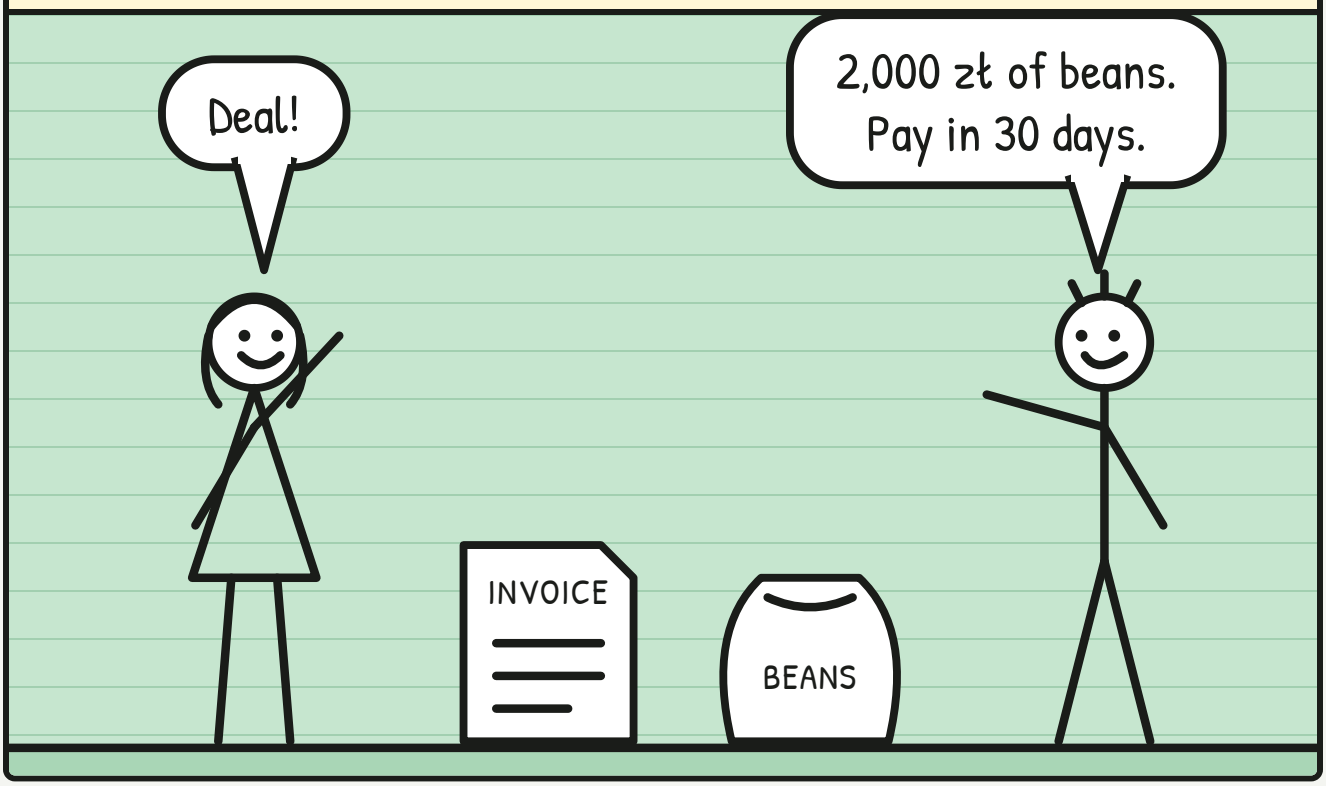
**CASH FLOW**

Operating −1,500

# Buying beans on credit

**PRINCIPLE: DUAL ASPECT CONVENTION**

Day 5. A roaster delivers 2,000 zł of coffee beans. Ania can pay within 30 days.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Inventory | 2,000 |
| Cr | Trade payables | 2,000 |

**WATCH OUT**

Beans on the shelf are not an expense yet. They become one only when they are used to make coffee that is sold.

**WHERE IT LANDS**

**BALANCE SHEET**

Inventory +2,000 · Trade payables +2,000

**INCOME STATEMENT**

no change

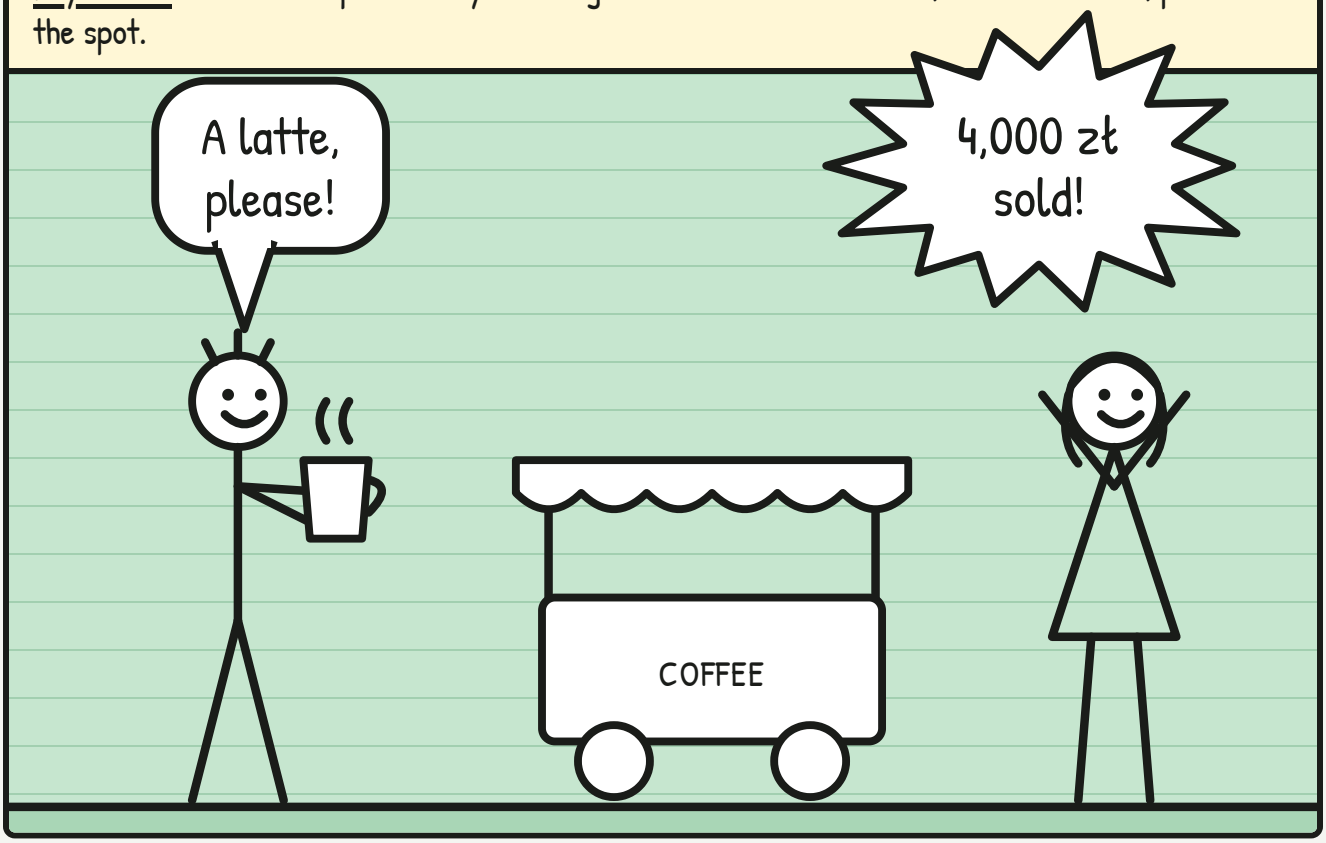
**CASH FLOW**

no cash moved

# Selling coffee for cash

**PRINCIPLE: REVENUE RECOGNITION + MATCHING CONVENTION**

Days 6–30. Customers queue every morning. In November Ania sells 4,000 zł of coffee, paid on the spot.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Cash | 4,000 |
| Cr | Revenue | 4,000 |
| Dr | Cost of sales | 1,200 |
| Cr | Inventory | 1,200 |

**WATCH OUT**

Forgetting the beans' cost would show 4,000 zł profit. Revenue and the costs that produced it belong together.

**WHERE IT LANDS**

**BALANCE SHEET**

Cash +4,000 · Inventory −1,200 · Retained earnings +2,800

**INCOME STATEMENT**

Revenue +4,000 · Cost of sales −1,200 → profit +2,800

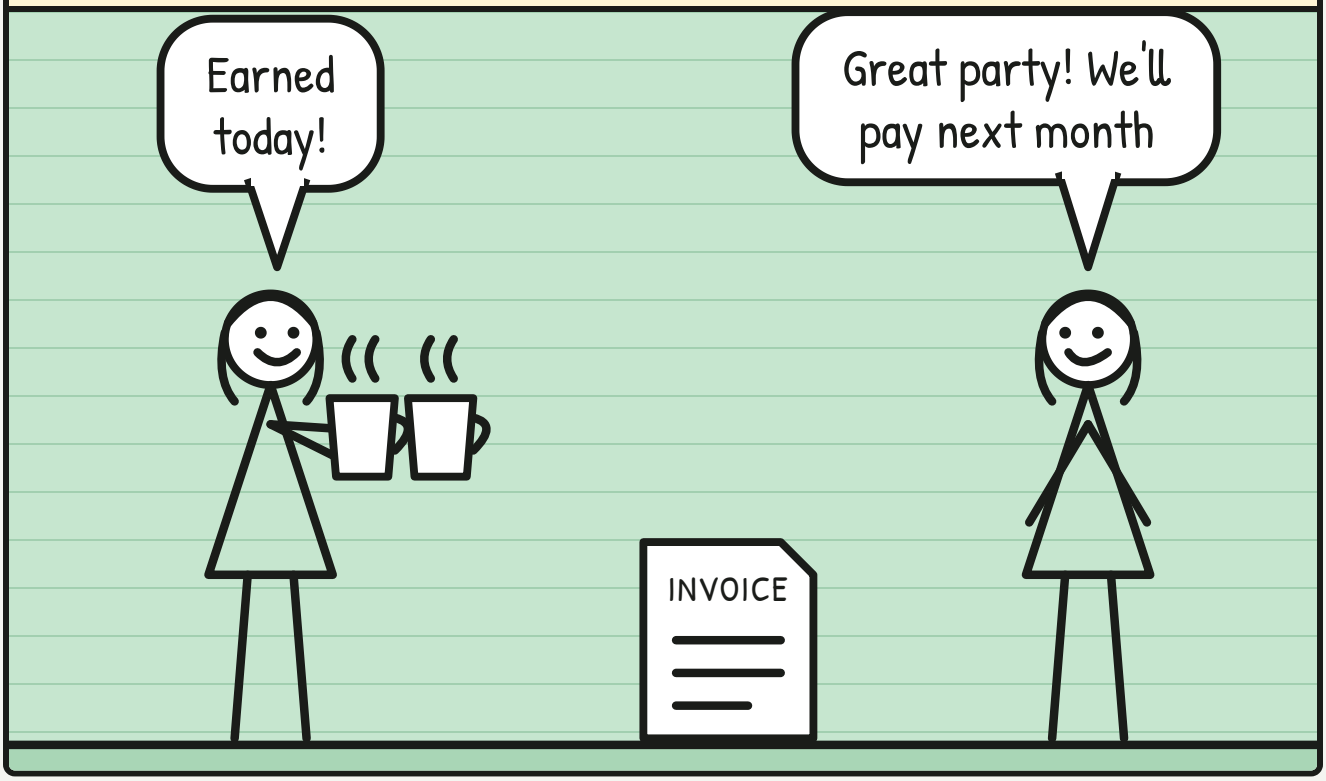
**CASH FLOW**

Operating +4,000

# Catering an office party on credit

**PRINCIPLE: REVENUE RECOGNITION**

Day 20. A nearby office orders coffee for a party: 1,000 zł. Ania delivers today. The office will pay next month.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Trade receivables | 1,000 |
| Cr | Revenue | 1,000 |
| Dr | Cost of sales | 300 |
| Cr | Inventory | 300 |

**WATCH OUT**

Waiting for the cash before recording revenue is cash accounting. Under accrual accounting, earning is what counts.

**WHERE IT LANDS**

**BALANCE SHEET**

Trade receivables +1,000 · Inventory −300 · Retained earnings +700

**INCOME STATEMENT**

Revenue +1,000 · Cost of sales −300 → profit +700

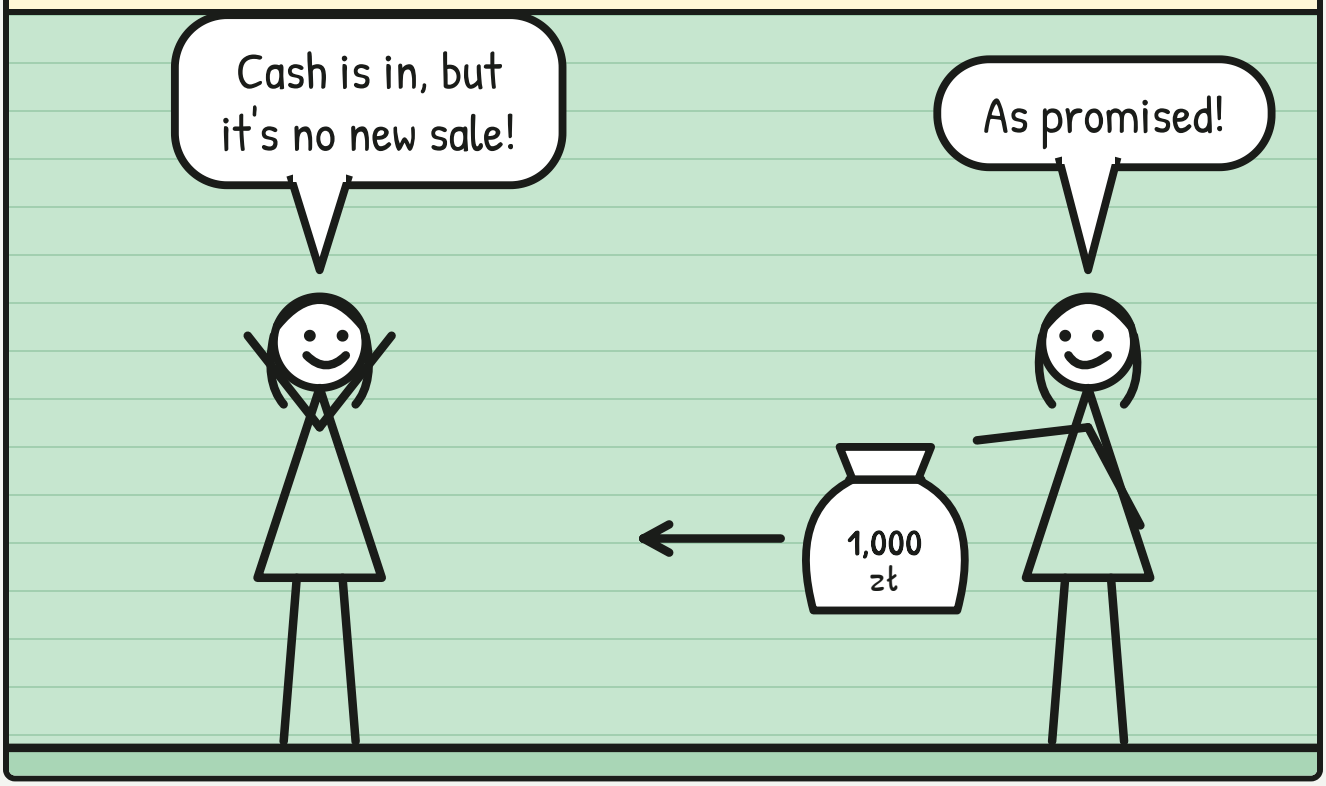
**CASH FLOW**

no cash moved

# The office pays its bill

**PRINCIPLE: REVENUE RECOGNITION**

Day 28. The office pays the 1,000 zł catering bill early.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Cash | 1,000 |
| Cr | Trade receivables | 1,000 |

**WATCH OUT**

Recording revenue again when the cash arrives would count the same party twice.

**WHERE IT LANDS**

**BALANCE SHEET**

Cash +1,000 · Trade receivables −1,000

**INCOME STATEMENT**

no change

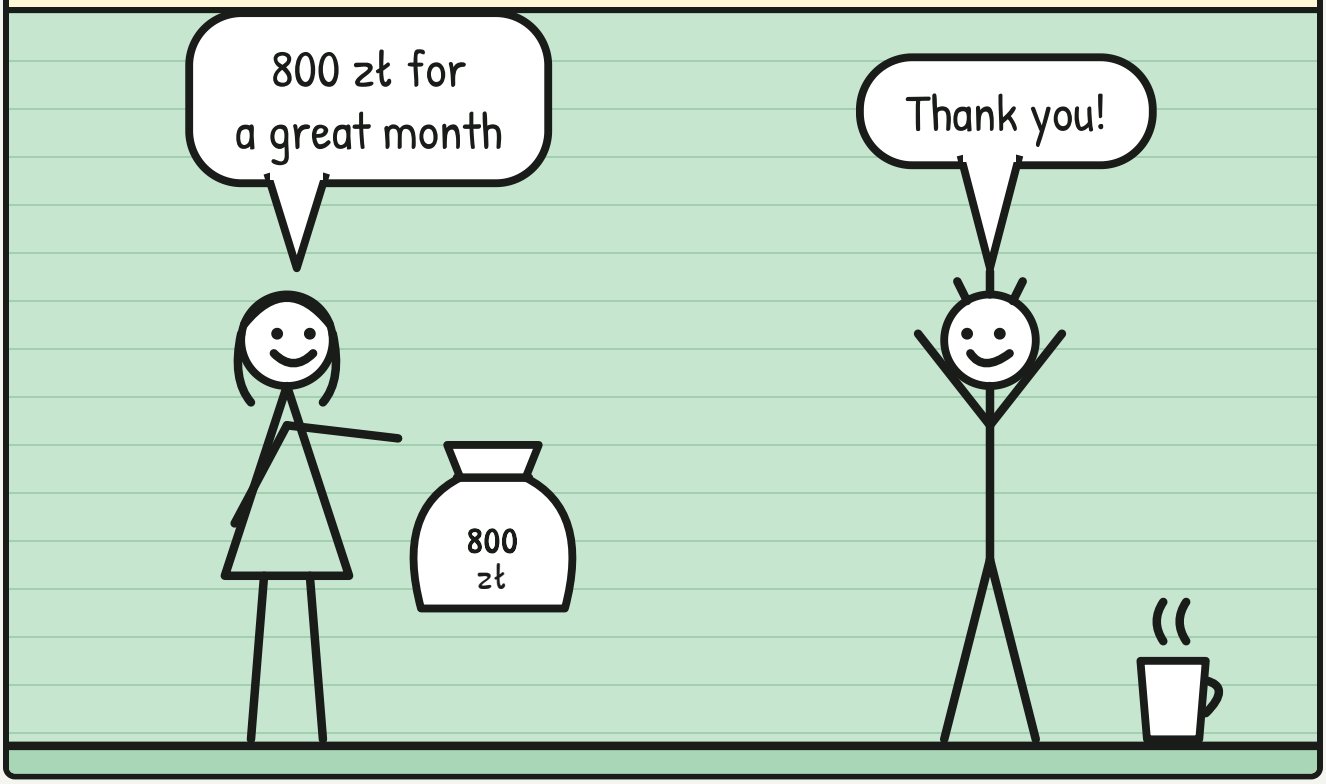
**CASH FLOW**

Operating +1,000

# Paying the barista

**PRINCIPLE: MATCHING CONVENTION**

Day 30. Ania's part-time barista, Tomek, worked all month. She pays him 800 zł.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Wages expense | 800 |
| Cr | Cash | 800 |

**WATCH OUT**

Paying Ania herself is different: money the owner takes out is a withdrawal of equity, not a wage expense.

**WHERE IT LANDS**

**BALANCE SHEET**

Cash −800 · Retained earnings −800

**INCOME STATEMENT**

Wages expense −800 → profit −800

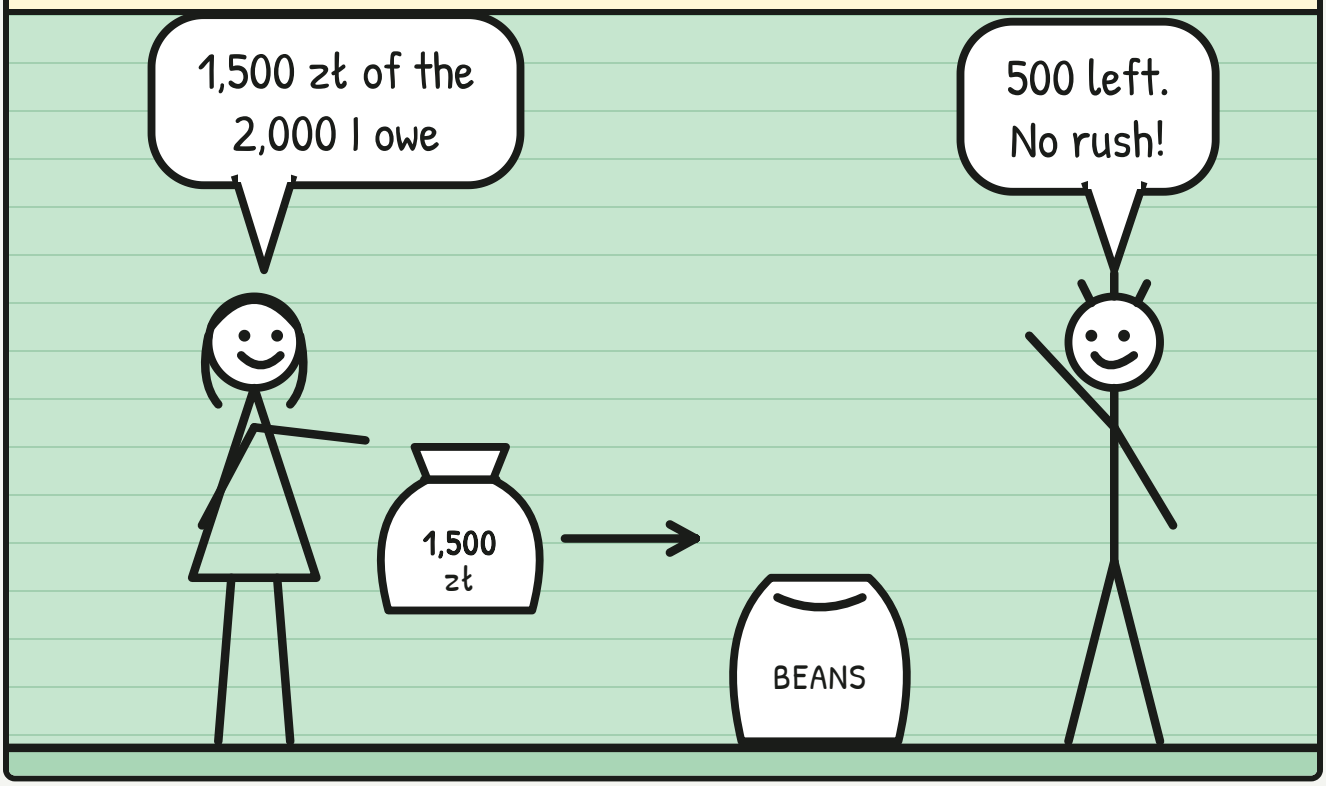
**CASH FLOW**

Operating −800

# Paying part of the bean bill

**PRINCIPLE: DUAL ASPECT CONVENTION**

Day 30. Ania pays the roaster 1,500 zł of the 2,000 zł she owes. 500 zł is still to pay.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Trade payables | 1,500 |
| Cr | Cash | 1,500 |

**WATCH OUT**

Paying a bill is not the same as having an expense. The expense happened when the beans were used.

**WHERE IT LANDS**

**BALANCE SHEET**

Cash −1,500 · Trade payables −1,500

**INCOME STATEMENT**

no change

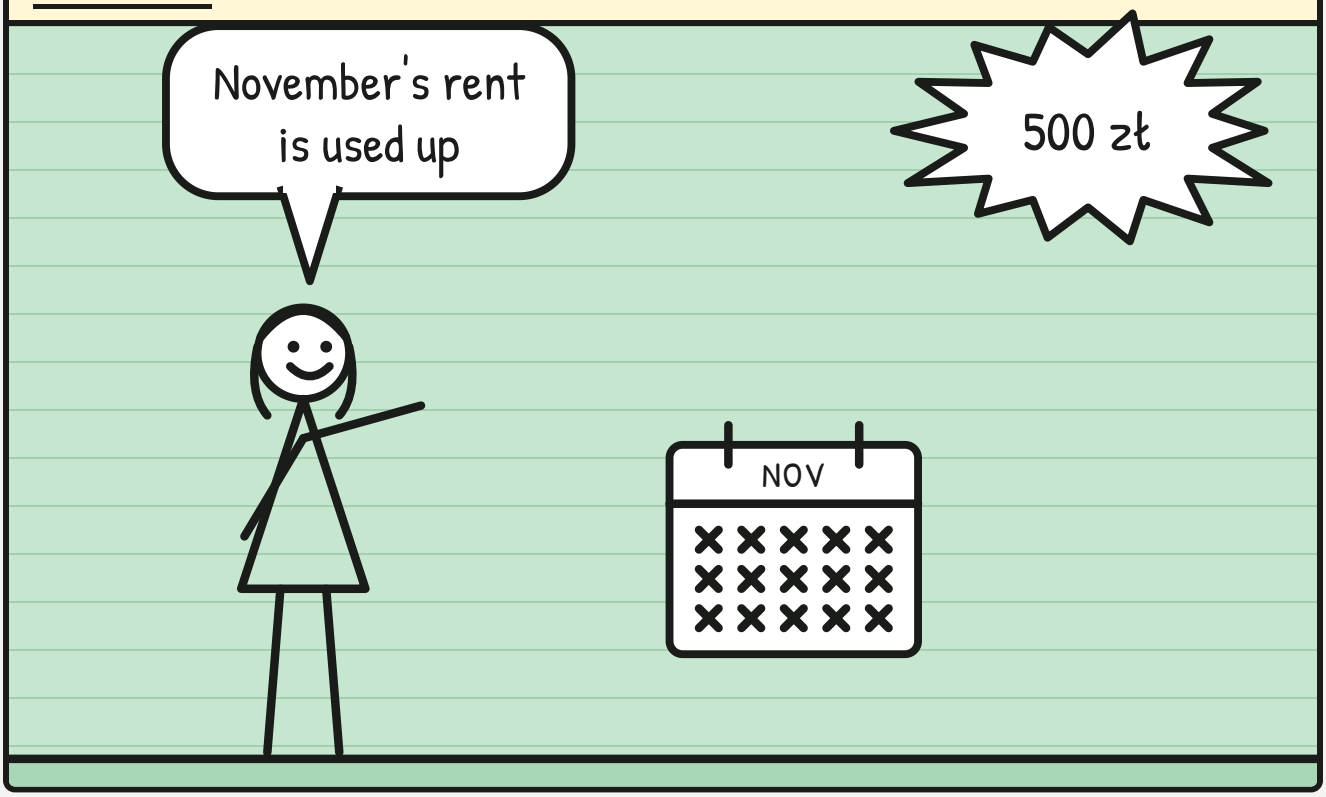
**CASH FLOW**

Operating −1,500

# Month end: using up a month of rent

PRINCIPLE: REPORTING PERIOD (ADJUSTING ENTRY)

30 November. The month is over. Ania sits down to close the books.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Rent expense | 500 |
| Cr | Prepaid rent | 500 |

**WATCH OUT**

Adjusting entries never involve cash. They fix the timing so each month shows what really belongs to it.

**WHERE IT LANDS**

**BALANCE SHEET**

Prepaid rent −500 · Retained earnings −500

**INCOME STATEMENT**

Rent expense −500 → profit −500

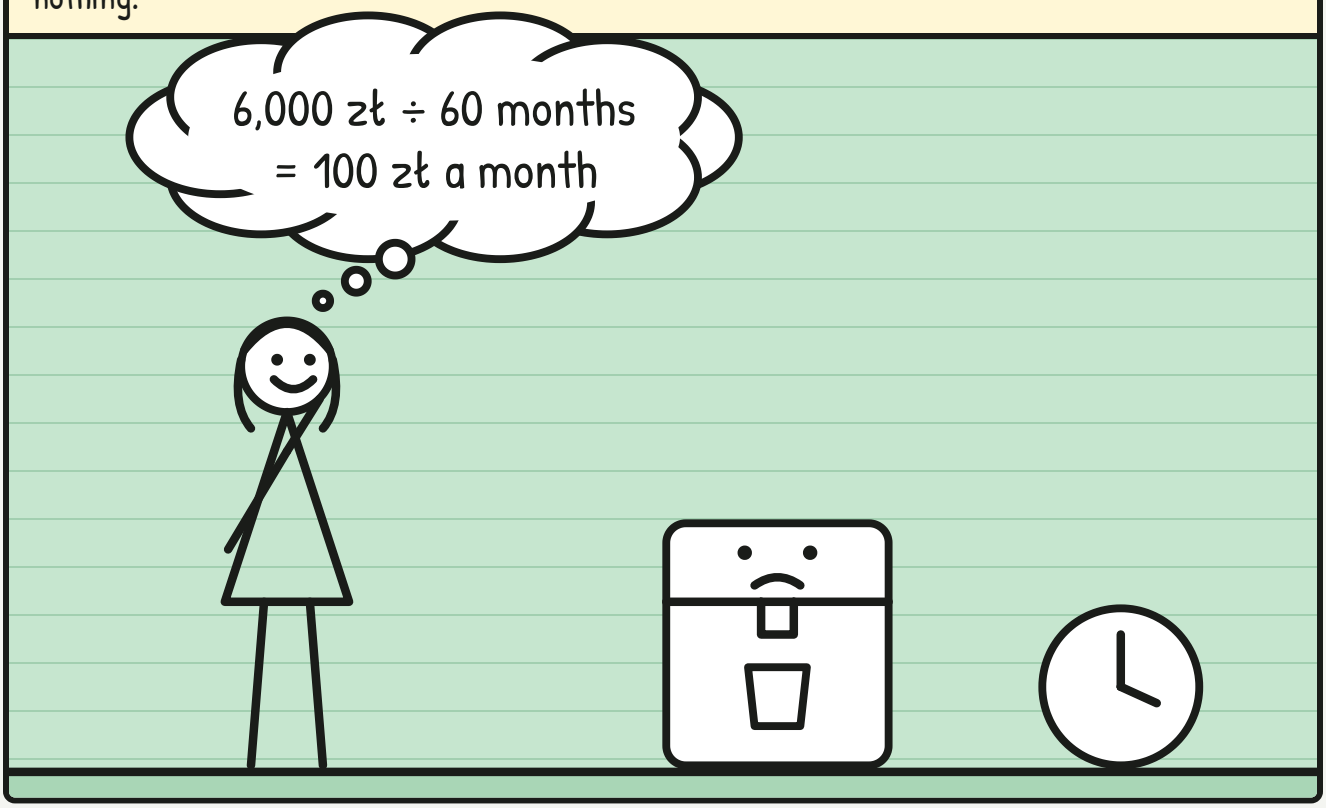
**CASH FLOW**

no cash moved

# The machine wears out a little

**PRINCIPLE: MATCHING + GOING CONCERN CONVENTIONS**

30 November. The espresso machine should last about 5 years (60 months), then it will be worth nothing.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Depreciation expense | 100 |
| Cr | Accumulated depreciation | 100 |

**WATCH OUT**

Depreciation uses no cash. That's why profit and cash are different numbers.

**WHERE IT LANDS**

**BALANCE SHEET**

Accumulated depreciation −100 · Retained earnings −100

**INCOME STATEMENT**

Depreciation expense −100 → profit −100

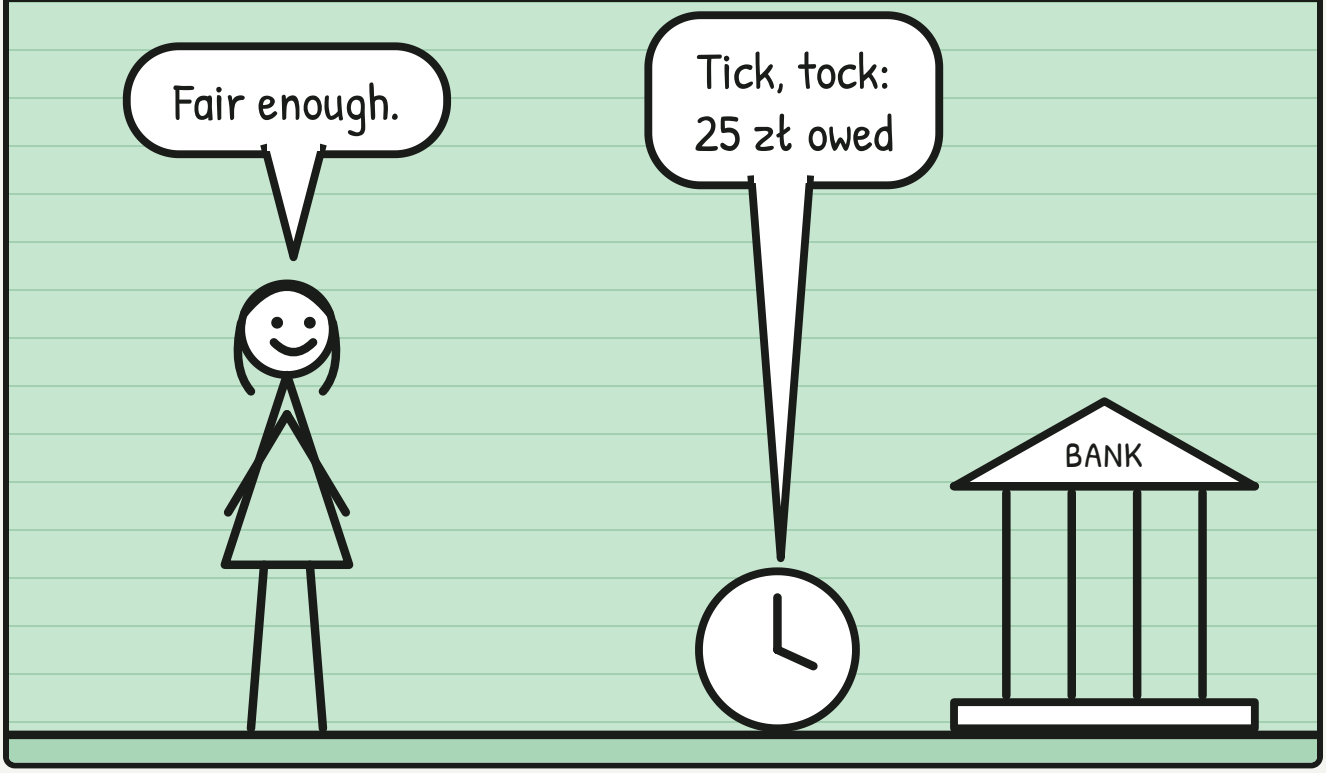
**CASH FLOW**

no cash moved

# Interest builds up on the loan

**PRINCIPLE: ACCRUALS CONVENTION**

30 November. The bank only collects interest later, but every day of the loan costs a little.




**WHAT THE ACCOUNTANT WRITES**

| | | |
|---|---|---|
| Dr | Interest expense | 25 |
| Cr | Accrued interest | 25 |

**WATCH OUT**

Ignoring costs until the bill arrives would make this month look more profitable than it was.

**WHERE IT LANDS**

**BALANCE SHEET**

Accrued interest +25 · Retained earnings −25

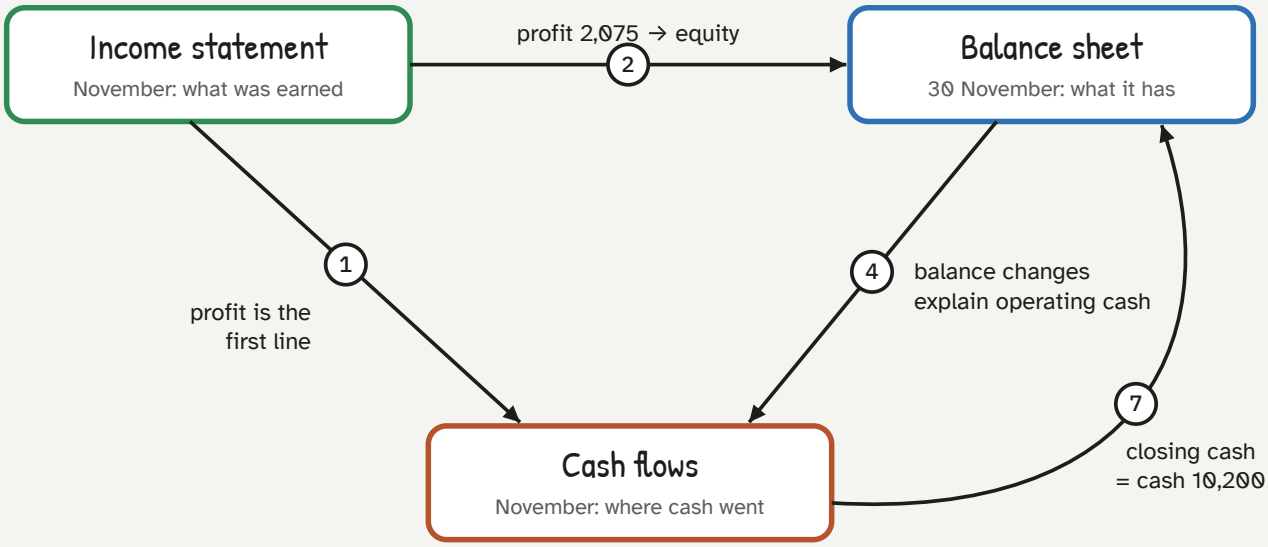
**INCOME STATEMENT**

Interest expense −25 → profit −25

**CASH FLOW**

no cash moved

# How the three statements connect




1. **Profit starts the cash story.** The statement of cash flows opens with the 2,075 zł profit and then corrects it for everything that was not cash.

2. **Profit belongs to the owner.** The same 2,075 zł is added to equity: 10,000 capital + 2,075 profit = 12,075 zł. In a company this line is retained earnings, after any dividends.

3. **Depreciation is a cost without cash.** The 100 zł lowers profit, so it is added back in cash flows. On the other side it builds up as accumulated depreciation, so the machine shows 5,900 zł.

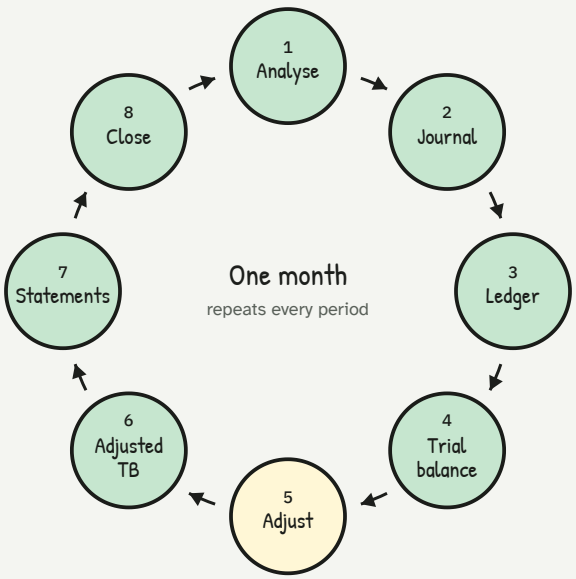
4. **Balance changes explain the gap.** Cash went into beans (500) and rent paid ahead (1,000), while some bills are still unpaid (525). Together they turn 2,175 into 1,200 zł of operating cash.

5. **Buying long-lasting assets is investing.** The 6,000 zł machine is a cash outflow and appears as equipment on the balance sheet.

6. **Owner and bank money is financing.** The 10,000 zł from Ania and the 5,000 zł loan come in as cash and appear as capital and debt.

7. **Closing cash must match.** 10,200 zł at the end of the cash flow statement equals cash on the balance sheet. This is the first check an accountant makes.

# The accounting cycle




1. **Analyse the transaction**
   Beans arrive on credit (strip 5): inventory, an asset, goes up; trade payables, a liability, go up.
2. **Record it in the journal**
   Dr Inventory 2,000 / Cr Trade payables 2,000.
3. **Post to the ledger**
   After strip 10 the cash account shows 10,200 zł.
4. **Unadjusted trial balance**
   Debits 20,500 = credits 20,500.
5. **Adjusting entries**
   Rent used 500, depreciation 100, interest 25 (strips 11–13).
6. **Adjusted trial balance**
   Debits 20,625 = credits 20,625.
7. **Prepare the statements**
   Profit 2,075 zł; total assets 17,600 zł; closing cash 10,200 zł.
8. **Close the period**
   2,075 zł moves into Ania's equity. December starts again at step 1.

## Ania's trial balance: debits = credits at every stage

| | |
|---|---|
| Before adjusting (after strip 10) | 20,500 = 20,500 |
| Month-end adjustments: rent, depreciation, interest | 625 = 625 |
| **After adjusting** | **20,625 = 20,625** |

Before adjusting, November's profit looks like 2,700 zł; after the three adjustments it is 2,075 zł.
Debits equal credits in every column.

# After one month, everything balances

INCOME STATEMENT

## November

Performance over the month

| | |
|---|---|
| Revenue | 5,000 |
| Cost of sales | (1,500) |
| **Gross profit** | **3,500** |
| Rent expense | (500) |
| Wages expense | (800) |
| Depreciation | (100) |
| Interest expense | (25) |
| **Profit for the period** | **2,075** |

STATEMENT OF CASH FLOWS

## November

Where real cash came from and went

| | |
|---|---|
| Operating activities | 1,200 |
| Investing activities | (6,000) |
| Financing activities | 15,000 |
| **Net change in cash** | **10,200** |

Ends at cash on the balance sheet: 10,200 zł.

BALANCE SHEET

## 30 November

Snapshot on the last day. Official IFRS name: statement of financial position

| | |
|---|---|
| **ASSETS** | |
| Cash | 10,200 |
| Trade receivables | 0 |
| Inventory | 500 |
| Prepaid rent | 1,000 |
| Equipment (PPE) | 6,000 |
| Accumulated depreciation | (100) |
| **Total assets** | **17,600** |
| **LIABILITIES** | |
| Trade payables | 500 |
| Accrued interest | 25 |
| Bank loan | 5,000 |
| **Total liabilities** | **5,525** |
| **EQUITY** | |
| Owner's capital | 10,000 |
| Retained earnings | 2,075 |
| **Total equity** | **12,075** |
| **Liabilities + equity** | **17,600** |

✓ **Balanced: 17,600 = 17,600**